

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMAN’S	:
ASSOCIATION,	:
	:
Complainant,	:
	:
v.	:
	:
GATEWAY TERMINALS, LLC;	:
CHARLESTON STEVEDORING COMPANY,	:
LLC; PORTS AMERICA FLORIDA, INC.;	:
CERES MARINE TERMINALS, INC.; AND	:
SSA ATLANTIC, LLC,	:
	:
Respondents.	:
-----X	

FMC Docket No.: 22-12

**RESPONDENTS’ REPLY TO ILA’S EXCEPTIONS TO THE DECISION OF THE
ADMINISTRATIVE LAW JUDGE**

Pursuant to 46 C.F.R. § 502.227(a)(2), Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PAF”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) submit this Reply to the Exceptions to the Decision of the Administrative Law Judge (“ALJ”) filed by Complainant, International Longshoreman’s Association (“ILA”) on October 22, 2023 (the “Exceptions”).

I. ILA’s Filing of Exceptions Was Procedurally Improper and the Exceptions Should Be Excluded from the Record.

The Exceptions pertain to the Initial Decision (“Decision”) issued by Hon. Linda S. Harris Crovella on September 29, 2023. After bifurcating the proceedings into two phases

(jurisdiction and merits), the ALJ determined that none of the five Respondents meets the Shipping Act's definition of "marine terminal operator" ("MTO") in either of the two facilities at issue in the proceeding, and accordingly dismissed the proceeding for lack of personal jurisdiction. After Judge Harris Crovella issued the Initial Decision, the Commission promptly served the parties with a Notice of Commission Determination to Review on October 3, 2023.

Under Rule 227(a)(5), 46 C.F.R. § 502.227, an initial decision becomes legally "inoperative" once it is under review by the Commission. We are not aware of any proceedings in which the Commission has accepted the filing of exceptions with regard to an initial decision that already is under review by the Commission pursuant to an order under Rule 227(c). While the Commission may in certain proceedings request additional briefing or other submissions while reviewing an initial decision under Rule 227(c), no such request has been issued. Accordingly, the Exceptions were not properly filed and should be excluded.

II. Incorporation of Briefing Below

Although ILA submitted the Exceptions, it did not submit an accompanying brief, but rather, ILA cited to its briefing in the proceeding below and attached and incorporated those briefs into its Exceptions.

We agree that it is not appropriate for the parties to submit additional briefing while the Commission's review of the Decision is pending unless and until the Commission set out a briefing schedule.

Accordingly, like ILA, for the purposes of this Reply only, we incorporate and refer to our key pleadings below. This Reply specifically incorporates Respondents' Reply on Personal

Jurisdiction (“Resp. Reply”) (Document #47 in the docket for Docket No. 22-12); Respondents’ Proposed Findings of Fact (“Resp. PFOF”) (Document # 48); and Respondent’s Appendix (“Resp. Appx.”), all of which were filed June 5, 2023. Respondents also incorporate Respondents’ Motion for Leave to Supplement Record and attached Declaration of Joel P. Britt, filed June 13, 2023 (“Resp. Motion for Leave”) (Document #49).

Where ILA’s Exceptions take issue with the ALJ’s decision to bifurcate the proceeding, we refer to and incorporate Respondent’s Motion to Bifurcate Proceeding to Address Threshold Jurisdictional Challenge served January 23, 2023 (“Motion to Bifurcate”) (Document #37).

Should the Commission determine that any of the Respondents is subject to Commission jurisdiction, we request that the Commission also review the ALJ’s Order on Partial Motion to Dismiss the First Amended Complaint and Motion to Strike Prayer for Reparations served November 7, 2022 (Document #29). In this regard, we reference and incorporate Respondents’ Motion to Dismiss Amended Complaint and Motion to Strike dated July 8, 2022 (Document #14) and Respondents’ Reply to Complainant’s Answering Brief to Partial Motion to Dismiss and Motion to Strike dated August 12, 2022 (Document #19).

III. Respondents’ Replies to ILA’s Exceptions

Respondents contend that the Initial Decision properly found that ILA failed to carry its burden of demonstrating that any of the five Respondents is an MTO under 46 U.S.C. § 40102(15) and 46 C.F.R. § 525.1(c), in the facilities at issue in the Amended Complaint. Respondents further request that the Commission adopt the Initial Decision, for the reasons set out below.

**REPLY TO ILA’S GENERAL EXCEPTIONS AND EXCEPTIONS
TO THE STANDARD OF REVIEW**

1. Respondents disagree with ILA’s Exception No. 1. *See* Resp. Reply p. 2, 5, 27; Decision p. 24-37; Resp. PFOF p. 2 ¶¶ 3-5.
2. Respondents disagree with ILA’s Exception No. 2. The Initial Decision was not reached based upon an incomplete record consisting solely of documents voluntarily produced by Respondents. *See* Decision p. 29, 33-34, 37.
3. Respondents disagree with ILA’s Exception No. 3. *See* Resp. Reply p. 4-5.
4. Respondents dispute ILA’s Exception No. 4. *See* Resp. Reply p. 6-7; Decision p. 24.
5. Respondents disagree with ILA’s Exception No. 5. *See id.*
6. Respondents dispute ILA’s Exception No. 6. *See* Decision p. 23-24 (stating that “Commission Rules make explicit that for private party complaints, the ‘Presiding Officer will determine whether an oral hearing is necessary.’” and citing 46 C.F.R. § 502.62(a)(5)).
7. Respondents dispute ILA’s Exception No. 7. *See* Reply to Exception No. 6.
8. Respondents disagree with ILA’s Exception No. 8. *See* Resp. Reply p. 4-5; Decision p. 23-24.
9. Respondents disagree with ILA’s Exception No. 9 because the ILA has not met its burden of establishing that any of Respondents are MTOs at the Port of Savannah or at the Port of Charleston. *See* Resp. Reply p. 13-25; Decision p. 2, 29-37.
10. For the reasons stated in Resp. Reply p. 4-5, Respondents disagree with ILA’s Exception No. 10. *See also* Decision p. 23-24.

11. Respondents dispute ILA's Exception No. 11. *See id.*
12. Respondents dispute ILA's Exception No. 12. Decision p. 30.
13. Respondents disagree with ILA's Exception No. 13. *See* Resp. Reply p. 2-4; Decision p. 25 n. 2.

**REPLY TO ILA'S EXCEPTIONS TO THE SPECIFIC
FINDINGS OF FACT BY THE ALJ**

14. Respondents dispute ILA's Exception No. 14. *See* Decision p. 23 (clarifying that the Decision "only addresses the parties named in the complaint" and noting that "ILA could have amended its filing").

15. Respondents disagree with ILA's Exception No. 15 because the evidence clearly establishes that certain Respondents entered into a joint venture in Savannah, GA at the GPA's recommendation and direction. *See* Decision p. 5 ¶¶ 5-6 (citing CX11; CX390; CX440; CX478; CX537; CX586).¹ The ILA's assertions concerning the agreements between "GPA and Respondents" are both inaccurate and misleading. The cited sections of the Initial Decision are findings of fact concerning an agreement between Respondent *Gateway* and GPA – not Respondents and GPA. Moreover, the Gateway-GPA Agreement, which is effective from January 1, 2022 through December 31, 2031, specifies the services that Gateway is to provide on behalf of GPA pursuant to the contract. *See generally* Decision at p. 6-11 ¶¶ 23-39. Therefore, it does define the legal relationship between Gateway and GPA, and it bears on jurisdiction in that Section 1 of the agreement states explicitly that "Gateway acknowledges and agrees that GPA shall continue to be the marine terminal operator for the Terminal responsible for the

¹ *See also* Brief of Amicus Curiae Georgia Ports Authority, filed September 22, 2023 at 3-4.

operation of all cranes and container handling equipment” *See* Decision at p. 7 ¶ 25 (quoting CX587).

16. Respondents disagree with ILA’s Exception No. 16. *See* Resp. Reply p. 20-24; Decision p. 5, ¶ 8.

17. Respondents do not agree with ILA’s Exception No. 17. *See* Resp. Reply p. 2.

18. Respondents disagree with ILA’s Exception No. 18. *See* Resp. Reply p. 25-27.

19. Respondents dispute ILA’s Exception No. 19. The Decision p. 6, ¶ 16, merely state the plain language of the provisions of the 2011 Charleston Gate Operating Agreement appearing at CX1038. The ALJ does not draw any legal conclusions regarding the agreement itself.

20. Respondents disagree with ILA’s Exception No. 20. *See* Resp. Reply p. 21-24; Resp. PFOF p. 16-17 ¶ 57.

21. Respondents dispute ILA’s Exception No. 21. *See* Resp. Reply p. 1, 21, 25; Resp. PFOF p. 3-5.

22. Respondents disagree with ILA’s Exception No. 22. *See* Resp. Reply p. 21-24; Decision p. 8-12. *See also* Resp. PFOF p. 12-15.

23. Respondents dispute ILA’s Exception No. 23. *See* Resp. Reply p. 22-23.

24. Respondents disagree with ILA’s Exception No. 24. ILA’s Exception No. 24 is impermissibly vague, as it fails to state which “genuine issue of material fact” supposedly was improperly resolved by the ALJ. Exception No. 24 also fails because the findings at Decision p.

11-12 are properly supported by the record, including by the Declaration of the Chief Operating Officer of the Georgia Port Authority (appearing at RX397-407).

25. Respondents dispute ILA's Exception No. 25. *See* Resp. Reply p. 23; Resp. PFOF p. 11-15.

26. Respondents disagree with ILA's Exception No. 26. *See* Resp. Reply p. 21-24; Decision p. 37; Resp. PFOF p. 13-14.

27. Respondents disagree with ILA's Exception No. 27. *See* Resp. Reply p. 21-23; Decision p. 31, 33-34; Resp. PFOF p. 13-14 ¶ 47.

28. Respondents dispute ILA's Exception No. 28. *See* Resp. Reply p. 22-23; Decision p. 30-31.

29. Respondents disagree with ILA's Exception No. 29. *See* Resp. Reply p. 22-23 (citing Resp. PFOF ¶¶ 56-57).

30. Respondents disagree with ILA's Exception No. 30. Exception No. 30 criticizes the Decision for referencing the fact that the port authorities in Savannah and Charleston pushed for consolidation of stevedores in their respective ports, arguing that it is irrelevant to whether the Commission has jurisdiction over Respondents. However, that issue clearly relates to whether Respondents' "control" the ports and to ILA's (inaccurate) allegation that Respondents somehow have engaged in anticompetitive behavior. Moreover, the language that ILA cites, Decision p. 12 ¶ 49, is dicta, as it merely references topics discussed later in the Decision.

31. Respondents disagree with ILA's Exception No. 31. *See* Decision p. 31; Resp. Reply p. 24-27; Resp. PFOF p.2 ¶ 4.

32. Respondents dispute ILA's Exception No. 32 because ILA has the burden of proof and has not established by a preponderance of the evidence that any of the named Respondents is an MTO. *See* Decision p. 37; Resp. Reply p. 24-27; Resp. PFOF p. 2 ¶ 3; Resp. Motion for Leave, Declaration of Joel P. Britt, ¶¶ 3, 4, 5-10.

33. Respondents disagree with ILA's Exception No. 33. *See* Resp. Reply p. 24-27. Decision p. 33-35; Resp. PFOF p. 7-11.

34. Respondents dispute ILA's Exception No. 34. *See* Resp. Reply p. 25-26.

35. Respondents disagree with ILA's Exception No. 35. *See* Decision p. 31; Resp. Reply p. 25-26.

36. Respondents disagree with ILA's Exception No. 36. *See* Resp. Reply p. 25-26 (citing Haigler Decl. ¶ 13(d) (Resp. Appx. 000377)). *See also* Resp. PFOF p. 11 ¶ 40.

37. Respondents disagree with ILA's Exception No. 37. *See* Resp. Reply p. 25-26.

38. Respondents disagree with ILA's Exception No. 38. *See* Decision p. 30; Resp. Reply p. 11-13.

39. Respondents disagree with ILA's Exception No. 39. *See id.*

40. Respondents disagree with ILA's Exception No. 40. ILA takes issue with the Decision's citation to the Commission's Final Rule on Exemption of Certain Marine Terminal Arrangements, 57 Fed. Reg. 4578, 4581, n.16. The Decision quotes the Rule's statement that "The Commission does not assert or claim jurisdiction over stevedoring activities" and ILA complains that the ALJ did not define "stevedoring." This argument is absurd and should be

disregarded. Stevedoring is not defined in the Commission's regulations or the Shipping Act, and thus should be interpreted according to its plain meaning.

41. Respondents disagree with ILA's Exception No. 41. *See* Decision p. 29-37; Resp. Reply p. 13-27; Resp. PFOF ¶¶ 3-5, 28-60.

42. Respondents disagree with ILA's Exception No. 42. *See* Resp. Reply p. 21-24; Resp. PFOF ¶¶ 41-51.

43. Respondents dispute ILA's Exception No. 43. *See* Resp. Reply p. 24-27; Resp. PFOF ¶¶ 28-40; Resp. Motion for Leave, Declaration of Joel P. Britt, ¶¶ 5-10.

44. Respondents disagree with ILA's Exception No. 44 because coordination with state port authorities does not mean Respondents had control over those marine terminal facilities. *See* Decision p. 30-37; Resp. Reply p. 13-27; Resp. PFOF ¶¶ 3, 28-40.

45. Respondents disagree with ILA's Exception No. 45. *See* Resp. Reply p. 13-27.

46. Respondents dispute ILA's Exception No. 46. *See* Resp. Reply p. 16-19; Resp. PFOF ¶ 12.

47. Respondents disagree with ILA's Exception No. 47. *See* Resp. Reply p. 19 n. 6.

48. Respondents dispute ILA's Exception No. 48. *See* Decision p. 30-37; Resp. Reply p. 13-27; Resp. PFOF ¶ 3.

REPLY TO ILA'S EXCEPTIONS TO THE ALJ'S CONCLUSIONS REGARDING THE ANALYSIS OF THE PARTIES' ARGUMENTS

49. Respondents disagree with ILA's Exception No. 49. *See* Resp. Reply p. 13-27; Resp. PFOF ¶¶ 11-20.

50. Respondents disagree with ILA's Exception No. 50. *See* Decision p. 23-24 (stating that "Commission Rules make explicit that for private party complaints, the 'Presiding Officer will determine whether an oral hearing is necessary'" and citing 46 C.F.R. § 502.62(a)(5).").

51. ILA has the burden of proof and has not established by a preponderance of the evidence that any of the named Respondents herein are MTOs. *See* Decision p. 37; Resp. Reply p. 24-27. Therefore, Respondents disagree with ILA's Exception No. 51.

52. Respondents dispute ILA's Exception No. 52. *See* Resp. Reply p. 21-24; Resp. PFOF ¶¶ 44-51.

53. Respondents disagree with ILA's Exception No. 53. *See* Resp. Reply p. 21-24; Resp. PFOF ¶¶ 57-60.

54. Respondents dispute ILA's Exception No. 54. *See* Resp. Reply p. 21-24.

55. Respondents disagree with ILA's Exception No. 55. *See* Reply to Exception No. 54.

56. Respondents dispute ILA's Exception No. 56. *See* Resp. Reply p. 24-27.

57. Respondents disagree with ILA's Exception No. 57. *See* Reply to Exception No. 56.

58. Respondents dispute ILA's Exception No. 58. *See id.* *See also* Resp. Motion for Leave, Declaration of Joel P. Britt, ¶¶ 5-10.

59. Respondents disagree with ILA's Exception No. 59. *See* Resp. Reply p. 24-27.

60. Respondents dispute ILA's Exception No. 60. *See* Resp. Reply p. 21-27.

61. Respondents disagree with ILA's Exception No. 61. *See* Reply to Exception No. 60.

62. Respondents disagree with ILA's Exception No. 62. *See* Resp. Reply p. 21-27, 37-38.

63. Respondents dispute ILA's Exception No. 63. Exception No. 63 is vague, as ILA fails to state why it believes the ALJ erred in finding that there has been no showing that Respondents have the ability or authority, or have even attempted to, control access to the facilities at issue in this matter. The ALJ's conclusions that Respondents do not, as a matter of fact, have the ability to control the gates and terminal security *and* that there is no evidence demonstrating that they have in fact actually exercised control are well supported by the record and should be upheld. *See* Decision p. 18, 33 (and sources cited therein). Further, as Respondents demonstrated (and as recognized in the Decision), ILA advocates for the Control Theory of jurisdiction, which does not apply here. *See, e.g.*, Resp. Reply at 7-11.

64. Respondents dispute ILA's Exception No. 64. *See* Decision p. 27-31; Resp. Reply p. 8-13 (discussing how control is evaluated through the enforcement of fees in *Lake Charles Harbor and Terminal Dist.* and *Plaquemines*).

65. Respondents disagree with ILA's Exception No. 65. Exception No. 65 is nonsensical. The ALJ did not confuse anything regarding Respondents' control or their (non)exercise of control over the gates and terminal security. Rather, the ALJ concluded that Respondents do not, as a matter of fact, have the ability to control the gates and terminal security

and that there is no evidence demonstrating that they have in fact actually exercised control. The ALJ's findings at Decision p. 18, 33 should be upheld. *See* Resp. PFOF ¶¶ 55-60.

66. Respondents dispute ILA's Exception No. 66 because the ILA has not met its burden of proof to demonstrate that the Respondents can condition or restrict access to private terminal facilities upon payment of their gate services fees. *See* Decision p. 33.

67. Respondents disagree with ILA's Exception No. 67 because the ALJ correctly found that the evidence does not establish that either Gateway or CSC has the level of control required to establish jurisdiction under the Act. *See* Resp. Reply p. 21-27; Resp. PFOF ¶¶ 3-5.

68. Respondents dispute ILA's Exception No. 68 because the ALJ correctly concluded that the agreements between the Respondents and the state ports authorities show that Gateway and CSC do not retain sufficient control over terminal facilities to confer jurisdiction under the Act. *See* Decision p. 33; Resp. Reply p. 21-27; Resp. PFOF ¶¶ 3-5.

69. Respondents disagree with ILA's Exception No. 69 because the ALJ correctly concluded that Respondents Gateway and CSC do not retain or exercise plenary control over the marine terminals in the two ports to the extent required to confer jurisdiction over the Respondents. Decision p. 12-16, 32-37; Resp. PFOF ¶¶ 3-5; 28-60.

70. Respondents dispute ILA's Exception No. 70. *See* Decision p. 32-37; Resp. Reply p. 21-27; Resp. PFOF ¶¶ 3-5; 28-60.

71. Respondents disagree with ILA's Exception No. 71 and assert that the ALJ correctly concluded that Gateway and CSC do not have, and have not exercised, *de facto* control of marine terminal facilities. Decision p. 33-35; Resp. Reply p. 21-27.

72. The ALJ correctly concluded that the Respondents are not MTOs under *Plaquemines*, and therefore, Respondents disagree with ILA's Exception No. 72. *See* Decision p. 33-35, 37; Resp. PFOF ¶¶ 3-5; 28-60.

73. Respondents disagree with Exception No. 73. The ALJ noted that there were no complaints from truckers or ocean carriers regarding stevedoring or gate fees, stevedoring or gate practices, or any lack of access to any facilities in the ports because Respondents are not MTOs. Furthermore, the ALJ stated in the Initial Decision that "the lack of trucker and ocean carrier complaints here is not dispositive, [however] it reinforces the need for ILA to provide evidence supporting such claims." Decision at p. 34-35.

74. Respondents disagree with Exception No. 74 because the evidence makes clear that state port authorities and Respondents do not share control over terminal facilities in a manner that confers MTO status to Respondents. Decision p. 35; Resp. PFOF ¶¶ 3-5.

75. Respondents dispute Exception No. 75. ILA has not shown that any of Respondents furnish or operate terminal facilities. *See id.*

76. Respondents disagree with Exception No. 76. *See* Decision p. 35-36.

77. Because Respondents' control over marine terminal facilities is limited to their "designated and limited functions," Respondents dispute Exception No. 77. *See* Resp. Reply p. 20-27; Resp. PFOF ¶¶ 3-5.

78. Respondents dispute ILA's Exception No. 78. Contrary to ILA's assertions, the ALJ did not err as a matter of law and fact by concluding that Respondents' control over off-pier warehouses, office space, training areas, yard space, and other marine terminal facilities is not

evidence of Respondents' control over marine terminal facilities to confer jurisdiction under the Act. *See* Resp. Reply p. 27. Further, leasing office space or having areas to store supplies does not demonstrate that Respondents offer essential services or effect control. Decision p. 36-37; Resp. PFOF ¶¶ 52-54.

79. Respondents dispute ILA's Exception No. 79 because Gateway's gate operations do not provide any basis for a finding of MTO status. *See* Resp. Reply at p. 22-23; Resp. PFOF ¶¶ 47, 60.

80. Respondents dispute ILA's Exception No. 80. Exception No. 80 mischaracterizes the ALJ's findings in the cited provisions of the Decision, *i.e.*, p. 18 ¶¶ 72-73, p. 30, which review and summarize the contents of documents on record. ILA's Exception merely complains that the ALJ relied on documentary evidence over the self-serving Declarations submitted by its witnesses.

81. *See* reply to Exception No. 80.

**REPLY TO ILA'S EXCEPTIONS TO THE ALJ'S APPLICATION OF PRIOR
COMMISSION DECISIONS TO THE FACTS IN THE RECORD**

82. Respondents disagree with ILA's Exception No. 82. MTO determinations are made on a facility-specific basis and none of the facts presented demonstrate Respondents are MTOs. *See* Decision p. 29-37; Resp. Reply p. 6-11, 21-27; Resp. PFOF ¶¶ 47, 60. Furthermore, the ALJ properly applied precedent and found that ILA's evidence was lacking. Decision p. 37.

83. Respondents dispute ILA's Exception No. 83. Respondents do not exercise sufficient "control" over any terminal facilities to render them MTOs under the Shipping Act, and relevant case law, at either Port. Decision p. 29-37; Resp. Reply p. 6-13; Resp. PFOF ¶ 40.

84. Respondents do not exercise sufficient “control” over any terminal facilities to render them MTOs under the Shipping Act, and relevant case law, at either Port. Decision p. 29-37; Resp. Reply p. 6-13; Resp. PFOF ¶¶ 41-60. Therefore, Respondents disagree with ILA’s Exception No. 84.

85. The ALJ correctly applied precedent. Therefore, Respondents disagree with ILA’s Exception No. 85. Decision p. 29-37; Resp. Reply p. 6-13; Resp. PFOF ¶¶ 28-40.

86. Respondents disagree with ILA’s Exception No. 86. Decision p. 29-37; Resp. Reply p. 6-13. The ALJ correctly applied precedent.

87. The ALJ correctly applied precedent. *Id.* Thus, Respondents disagree with ILA’s Exception No. 87.

88. Respondents dispute Exception No. 88. The ALJ correctly applied *Plaquemines*, which evaluates the combination of offering essential services and controlling access, and found that Respondents do not provide “essential services” as defined therein. *See* Decision p. 31-32. *See also, e.g.*, Resp. Reply at 8-13.

89. Respondents disagree with ILA’s Exception No. 89 because ILA fails to understand that control is a necessary factor that must be satisfied in the determination of MTO status, as evidenced by case law precedent, and that providing essential services is not the sole determinative factor. Decision p. 29.

90. Respondents disagree with ILA’s Exception No. 90. The ALJ correctly interpreted case law and applied *Puerto Rico Ports Auth. v. FMC*, 919 F.2d 799 (1st Cir. 1990), which held that, although the Puerto Rico Ports provided certain general harbor services, it was

not an MTO because it was not in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier. The ALJ applied this reasoning here.

91. Respondents disagree with Exception No. 91. The ALJ correctly applied the *Plaquemines* line of decisions to the present facts. ILA has not met its burden of establishing that any of Respondents are MTOs at the Port of Savannah or at the Port of Charleston. *See* Decision p. 2, 29-37; Resp. Reply p. 13-25.

92. The ALJ correctly applied the *Plaquemines* line of decisions to the present facts. ILA has not met its burden of establishing that any of Respondents are MTOs at the Port of Savannah or at the Port of Charleston. *See id.* Therefore, Respondents disagree with Exception No. 92.

93. Respondents disagree with Exception No. 93. The Respondents abide by contractual provisions for gate operations. The ALJ properly rejected ILA's arguments concerning "exclusive stevedoring," pointing out that ILA failed to recognize the "key distinctions made by the Commission" in *Petchem* and *Canaveral Port Authority*. *See* Decision p. 35-36. Exception No. 93 makes no attempt to explain why the ALJ supposedly erred – because it cannot. The arguments in Exception No. 93 should be rejected.

**REPLY TO ILA'S EXCEPTIONS TO THE ALJ'S RULINGS ON THE ILA'S
DISCOVERY OBJECTIONS AND THE LACK OF A COMPLETE FACTUAL RECORD**

94. Respondents have complied with their jurisdiction discovery obligations and therefore dispute ILA's Exception No. 94. *See* Resp. Reply p. 27-28.

95. Respondents dispute ILA's Exception No. 95 because Respondents have complied with their jurisdiction discovery obligations and with the Bifurcation Order issued March 9, 2023. *See* Decision p. 2; Resp. Reply p. 27-37.

96. Respondents dispute ILA's Exception No. 96. *See* Resp. Reply p. 27-37. Despite Respondents' best efforts to meet and confer, ILA's search terms were extremely overbroad.

97. Respondents disagree with Exception No. 97. Exception No. 97 mischaracterizes the cited sections of the Decision. Contrary to ILA's assertion, the ALJ did not conclude that "because the ILA was not given documents by Respondents showing Respondents' ability to restrict access to the marine terminals . . . that Respondents do not in fact possess such control and presupposes that no documents illustrating that such control exists." Rather, the cited sections of the Decision properly found that Respondents do not exert the control required to be considered MTOs, *see* Decision p. 33-34, and, elsewhere, the Decision explains because this matter was bifurcated, discovery was limited to documents pertaining directly to the issue of jurisdiction; and properly finds that Respondents met their discovery obligations, *see* Decision p. 2-4.

98. Respondents disagree with Exception No. 98. *See* Resp. Reply p. 27-37.

99. Respondents disagree with Exception No. 99. The ALJ's Bifurcation Order was properly reasoned and assisted in streamlining the case by focusing on the threshold jurisdictional issue. The Bifurcation Order resulted in the creation of a thorough factual record on the issue of whether Respondents provide marine terminal facilities, including detailed factual testimony from all parties and the non-party ports authorities. The Bifurcation Order did not

prejudice ILA, nor was the ALJ's decision to require the parties to address discovery issues in brief tantamount to a prior restraint. *See* Resp. Reply p. 27-37. ILA's procedural arguments only seek to distract from what the extensive record evidence actually shows.

100. Respondents dispute Exception No. 100. The ALJ did not fail to consider ILA's arguments on discovery; rather, the Decision found that Respondents complied with applicable discovery requirements.

101. Respondents disagree with ILA's Exception No. 101 because the ILA had notice that Respondent PAF did not operate in the Port of Charleston, SC or Savannah, GA. *See* Resp. Reply p. 13-15, 30-32.

102. Respondents dispute Exception No. 102 because PAF, the only named Ports America entity, does not possess responsive documents because it never operated as a stevedore (or otherwise) in the Ports of Charleston and Savannah. *See* Resp. Reply p. 30 (citing Nelson Decl. ¶ 5 (Resp. Appx. 000395)). *See also* Motion to Leave, Declaration of Joel P. Britt, ¶ 3(e). Furthermore, PAF is not obligated to produce documents from an entity which it does not control. *See* Resp. Reply p. 32.

103. Respondents dispute Exception No. 103. *See* reply to Exception No. 102.

REPLY TO ILA'S EXCEPTIONS TO DECISION TO BIFURCATE

104. Respondents disagree with Exception No. 104. The ALJ did not err as a matter of law by electing to bifurcate this proceeding. The Motion to Bifurcate was a procedural motion to sequence discovery and adjudication of personal jurisdiction ahead of the adjudication of ILA's claims on the merits, for the sake of cost and efficiency. Under the clear terms of the Bifurcation

Order, ILA was provided an opportunity to meet its burden of proving by a preponderance of the evidence that any or all of Respondents are marine terminal operators; however, as demonstrated in the Resp. Reply, and Decision, it failed to do so, which illustrates that bifurcating this case was the correct course of action. *See* Resp. Reply p. 5. Decision p. 37.

105. Respondents dispute Exception No. 105. The ALJ correctly applied the standard set forth by the Federal Rules of Civil Procedure Rule 42(b) when determining whether to bifurcate this proceeding.

106. Respondents disagree with ILA's Exception No. 106. The ALJ's decision to bifurcate this proceeding did not prejudice ILA and saved valuable time and resources amongst the Commission and the parties in this case by expediting the proceedings while providing the ILA an opportunity to discover the evidence that any or all of Respondents are marine terminal operators. *See* Resp. Reply p. 5; Motion to Bifurcate p. 4-7.

REPLY TO ILA'S SPECIFIC EXCEPTIONS TO PERTAINING TO THE PROPOSED ORDER

107. The Initial Decision correctly evaluated the evidence and found that the Commission does not have jurisdiction over any or all Respondents. Decision p. 37. Therefore, Respondents dispute ILA's Exception No. 107.

108. Respondents disagree with ILA's Exception No. 108 because the ALJ did not err in her proposed order by dismissing the AVC against the Respondents.

109. Respondents dispute ILA's Exception No. 109 because ILA had an opportunity to amend its Complaint, but cannot overcome the burden to establish by a preponderance of the evidence that any of the named Respondents herein are MTOs.

110. The ALJ correctly recommended that this proceeding be discontinued. Therefore, Respondents dispute ILA's Exception No. 110.

111. The Respondents disagree with ILA's Exception No. 111. The Decision was properly determined and should be upheld.

IV. Alternative Requests Concerning ALJ Orders

To the extent the Commission determines that the Decision was wrongfully decided and finds that one or more of the Respondents are subject to the Commission's jurisdiction, Respondents respectfully request that the Commission review – prior to any remand – the ALJ's November 7, 2022 Order (the "Order") denying Respondents' Partial Motion to Dismiss the First Amended Complaint and Motion to Strike Prayer for Reparations. Respondents request such review on three grounds:

First, the Order improperly found that Count 4 of the Amended Complaint asserted a cause of action under Section 41106(3) of the Shipping Act because it alleged that Respondents refused to engage in labor negotiations with the ILA and its locals regarding labor issues including customs and practices with respect to employee seniority, work hours, manning, and discipline. Order at 5. As indicated in Respondents' Partial Motion to Dismiss, there is no such cause of action under the Shipping Act – rather, it is clearly barred by Section 40301(d), which explicitly states that the Shipping Act does not extend to maritime labor agreements (which clearly encompasses collective bargaining agreements themselves and any agreements amongst employers relating to collective bargaining). *See* Partial Mot. to Dismiss at 9-12. Because the

Commission may not regulate labor negotiations or compel discovery relating thereto, this error should be addressed prior to any remand.

Second, Respondents request that the Commission review the ALJ's determination on Count Two, specifically the finding that ILA's claim of undue or unreasonable prejudice under Section 41106(2) was properly asserted notwithstanding ILA's failure to plead any specific instances of disparate treatment by any of Respondents. *See* Order at 4; Partial Mot. to Dismiss at 6-8.

Third, Respondents request that the Commission review the ALJ's holdings with regard to Count Three, specifically the finding that ILA properly asserted a claim for refusal to deal under Section 41106(3) notwithstanding that ILA did not allege any specific instances of any Respondents purportedly unreasonably refusing to deal, nor any specific victim or target of such refusal. *See* Order at 4-5; Partial Mot. to Dismiss at 8.

V. Conclusion

For the foregoing reasons, and those set forth in the Initial Decision as well as the documents incorporated into this Reply, ILA's Exceptions are meritless and the Commission should uphold the Initial Decision.

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Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing Reply to ILA's Exceptions to the Decision of the Administrative Law Judge was provided to served upon counsel of record by email on this 14th day of November 2023.



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